IN THE NATIONAL COMPANY LAW TRIBUNAL
NEW DELHI
BENCH – V
COMPANY PETITION NO. (CAA) – 69 (ND)/2022
CONNECTED WITH
COMPANY APPLICATION NO. 20 (ND)/2022

Under Section 230-232 and other applicable provisions of the Companies Act, 2013 r/w the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016)

IN THE MATTER OF:

VINCO METALS PRIVATE LIMITED

...PETITIONER NO.1/TRANSFEROR COMPANY

AND

BON LON PRIVATE LIMITED

...PETITIONER NO.2/ TRANSFEREE COMPANY

Order Delivered On: 09.01.2024

CORAM:

SHRI MAHENDRA KHANDELWAL, HON'BLE MEMBER (JUDICIAL)

DR. SANJEEV RANJAN, HON'BLE MEMBER (TECHNICAL)

PRESENT:

For the Applicant : Mr. Alok Kumar Kuchhal, Mr. Snehal Sharda, Advs.
For the Respondent :
For the RD : Ms. Niharika Tanwar, Adv.
For the OL : Ms. Hemlata Rawat, Adv.

ORDER

PER: MAHENDRA KHANDELWAL, MEMBER (JUDICIAL)

1. The present Joint Petition is filed by the Petitioner Companies herein M/s VINCO METALS PRIVATE LIMITED (Transferor Company /Petitioner No.1) and M/s BON LON PRIVATE LIMITED (Transferee Company/Petitioner No. 2) under Section 230-232 of the Companies Act, 2013 read with the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016, and the National Company Law Tribunal Rules, 2016, for the purpose of the Sanction of the proposed Scheme of Amalgamation of the Transferor Company with M/s BON LON PRIVATE LIMITED (Transferee Company/Petitioner No. 2). The copy of the Scheme of Amalgamation (hereinafter referred as the "Scheme"), has been placed on record.
2. The Transferor Company/Petitioner No. 1 i.e M/s Vinco Metals Private Limited is a private limited company incorporated on 25.03.1988 under the provisions of the Companies Act, 1956 vide CIN: U74899DL1988PTC031108, having its registered office situated at 7A/39, (11- First Floor), WEA Channa Market, Karol Bagh, New Delhi- 110005. Thus, the registered office of the Transferor Company is under the jurisdiction of this Tribunal. The authorized share capital of the Transferor Company is Rs. 3,50,00,000/- divided into Rs. 35,00,000 Equity Shares of Rs. 10/- each. The issued, subscribed and paid-up share capital of the Transferor Company is Rs. 3,49,74,600/- divided into 34,97,460 Equity Shares of Rs. 10/- each fully paid up.
3. The Transferee Company/ Petitioner Company No. 2 i.e. M/s Bon Lon Private Limited is a private limited company incorporated on 05.09.1988 under the provisions of the Companies Act, 1956 vide CIN: U65100DL1988PTC033038, having its registered office at 6B/10, NEA Old Rajender Nagar, Delhi- 110060. Thus, the registered office

of the Transferee Company is under the jurisdiction of this Tribunal. The authorized share capital of the Transferee Company is Rs. 4,00,00,000/- divided into 4,00,000 Equity Shares of Rs. 100/- each. The issued, subscribed and paid-up share capital of the Transferee Company is Rs. 3,00,00,000/- divided into 3,00,000 Equity Shares of Rs. 100/- each fully paid up.

4. The Petitioner Companies submit that the proposed scheme of amalgamation of the Transferor Company and Transferee Company would have the following benefits:

   i. The amalgamation will enable the optimal utilisation of the available resources and yield benefits to the amalgamated entity including achieve business synergies, market access, unified platform for growth, access to customer base and cost effectiveness.

   ii. The amalgamation will enable the resulting business and activities of the amalgamated entity to be carried on more efficiently, conveniently and advantageously with greater economies of scale, pooling and more efficient utilisation of their resources, rationalization of administrative structure, reduction in overheads and other expenses and improvement in various other operating parameters.

   iii. The combined assets of the Transferor Company and the Transferee Company are of much greater value than their combined liabilities As such the amalgamation will result in the formation of a larger and stronger Company with a larger asset and capital base having greater capacity for conducting its operations more efficiently and competitively and raising and accessing funds for growth and expansion of its business on more favorable terms including improving key fiscal ratios with healthier financial statements. This in turn shall aid in strengthening

the position of the merged entity by enabling it to harness and optimize the synergies of the Companies and capitalize on future growth potential and improve the competitive position of the combined entity.

iv. The Scheme will enable optimum running, growth and development of the combined undertakings of the Transferor Company and the Transferee Company. Such combination and consolidation of business undertakings will bring organizational efficiency and will ensure focused management attention thereby enabling business growth and development and increase in revenue and profit. The same will result, inter alia, advantages of vertical integration of the operations of the said Companies, including better inventory management and reduction of working capital requirements which will be facilitated by and follow the amalgamation.

v. The Transferor Company, by virtue of its operations may get into the deeming provisions of NBFC. Accordingly, it is felt advantageous to ger in registered as NBFC or amalgamate itself with any existing NBFC the proposed scheme will enable the Transferor Company to continue with its business in a fully compliant manner.

vi. The Scheme is proposed to the advantage of the said Companies and will have beneficial results for the said Companies, their shareholders and all concerned.

5. The appointed date as fixed for the proposed scheme of Amalgamation is 1st April, 2021 or such other date as may be directed by this Tribunal.

6. From the records, it is seen that the First Motion joint application was filed before this Tribunal vide CA(CAA)20/ND/2022. Vide order dated 21st April, 2022, the meetings of Shareholders and Unsecured Creditors of the Petitioner No. 1 and

Petitioner No.2 were dispensed with. Since, there were nil secured creditor of the Petitioner Company No. 1 and Petitioner Company No. 2, therefore, the necessity of convening and holding a meeting did not arise.

7. The Tribunal directed the petitioner companies to issue individual notices to the (i) Regional Director, Northern Region of Ministry of Corporate Affairs, (ii) Income Tax Department, (iii) Registrar of Companies NCT of Delhi and Haryana, and (iv) Official Liquidator.

8. The Petitioner Companies were also directed to carry out publication in the newspapers. It is seen from the records that the petitioners have filed an Affidavit affirming compliance and disclosing that the applicants have effected publication in "Business Standard" (English, Delhi edition) edition as well as "Business Standard" (Hindi, Delhi edition), both dated on 02.12.2022. In addition to the public notice, notices were served on the Regional Director (Northern Region), Official Liquidator, the Income Tax Department, Registrar of Companies, NCT of Delhi and Haryana, the Reserve Bank of India and to the other relevant sectoral regulators.

9. Pursuant to the notice issued to the Regional Director and Official Liquidator, they have filed their response/reply in the matter.

10. The Regional Director (RD) in its affidavit dated 21.03.2023 has made certain observations with regard to the proposed scheme of Amalgamation among the Petitioner Companies. The Petitioner Companies had filed affidavit dated 15.05.2023 in response to the observations made by the Regional Director, under wherein the Petitioner Companies gave clarification and undertaking to address the observations made by the Regional Director. The details of the same are summarised below:

Observation of the Regional Director vide affidavit dated 21.03.2023	Reply of the Petitioner Companies vide affidavit dated 15.05.2023
i. The paper book of the application submitted to this office does not contain the valuation reports on the share exchange ratio. Hence the company may be asked to compliance of the provision of the section 230(2) (v) r/w section 247 of the Companies Act, 2013	i. In response to the first observation, it is most respectfully submitted that the Counsel for the Petitioner Companies has duly served the Valuation Report to the Office of RD along with the response letter dated 20.03.2023 to the Query letter received from the Office of RD. (the same has also been mentioned at Para 11 of the RD's Affidavit) Hence, the Petitioner Companies have duly complied with the provision of section 230(2) (v) r/w section 247 of the Companies Act, 2013, whereby the Valuation Report to this effect was obtained from the Registered Valuer CA Naveen Singhal and the share exchange ratio stands at 23.18 Equity shures each of Rs. 100/- of the Transferee Company for every 100 equity shares of Rs. 10 each held in the Transferor Company [refer to Page 311 to 343 of the First Motion Application].
ii. As per MCA General Circular no. 9/2019 dated 21.08.2019, if the appointed date is significantly ante-dated beyond a year from the date of filling, the justification for the same would have to be specifically brought out in the scheme and it should not be against public interest. In this case, the appointed date is 01.04.2021. However, the justification of the same being significantly ante-dated in terms of the above Circular is not clearly brought.	ii. In response to the second observation, it is to be noted that the Office of ROC (Delhi) has correctly referred to the General Circular No. 09/2019 dated 21.08.2019 issued by the Ministry of Corporate Affairs but has inadvertently missed the date of filing. In the present case, the date of filing of the First Motion Application is 10.03.2022 and the appointed date is 01.04.2021, which is in no case ante-dated beyond a year from the date of filing (Copy of e-filing receipt of first motion application dated 10.03.2022 is attached herewith and marked as Annexure 2 Accordingly, in our humble submission, the issue raised by the Office of ROC (Delhi) is not applicable to the present case.
iii. It is mentioned in the clause no. 02 of the scheme that scheme would be operative from the appointed date. However, as per section 232(6) the scheme would be effective from the appointed date.	iii. In response to the third observation, it is re-iterated that in the present scheme, the appointed date and effective date are as follows: Appointed Date shall mean 01 April, 2021 or such other date as may be mutually agreed by the Board of Directors of the Transferor Company and the Transferee Company and as may be sanctioned by the NCLT (defined herein below) for the purposes of amalgamation of Transferor Company with Transferee Company. [refer to page 55 of the Second motion joint petition] 'Effective Date' means the day on which National Company Law Tribunal (NCLT) would grant final sanction and permission to the Scheme and the

	certified copies of the order of NCLT sanctioning this Scheme are filed by the Transferor Company and the Transferee Company with the Registrar of Companies. It may be clarified that the Scheme shall otherwise be operative from the Appointed Data or the Transfer Date, as defined herein before. It is further clarified that reference in this Scheme to the date of "coming into effect of this Scheme" or "the effectiveness of this Scheme" shall have same meaning and as the "Effective Date" [refer to page 55 of the Second motion joint petition] Therefore, in our humble submission, there is no ambiguity in mentioning the appointed date in terms of provisions of section 232(6) and the appointed date is clearly mentioned as 01.04.2021 from which date, the scheme will become effective. However, the scheme can only be made operative/ effective after due approval of the Hon'ble NCLT & filing thereof with the office of Registrar of Companies. However, it is most respectfully submitted that if this Hon'ble Tribunal deems it fit to postpone the Appointed Date from 01 April, 2021 to 01 April, 2023, the Transferee Company shall have no objection to the said change in the Appointed Date from 01" April, 2021 to 01 April, 2023 in the Amalgamation as approved by the Board of the Transferee Company vide Board Meeting dated 19.01.2022 between the Vinco Metals Private Limited with Bon Lon Private Limited.
iv. With respect to Transferor Company auditor has stated in his report for the F.Y. 2021-22, that the Board of the Directors of the Company subject to approval of RBI, NCLT and other concerned regulatory authorities proposed to merger the company with M/s Bon Lon Private Limited, an NBFC registered with RBI Delhi in terms of the Provision of Companies Act, 2013 and RBI Regulations. Hence, it is not clear how RBI approval is required. Hence, company may be asked to clarify the same.	iv. In response to the fourth observation, it is important to re-iterate that the Transferee Company i.e. Bon Lon Private Limited is a Non-Banking Finance Company (NBFC), accordingly, since RBI is a regulatory body for NBFC operating across India, the Transferee Company i.e. Bon Lon Private Limited had sought the approval of RBI for the proposed merger of Vinco Metals Private Limited with Bon Lon Private Limited vide its letter dated 30.07.2021. RBI had provided its 'No Objection' to the proposed merger vide letter dated 12.04.2021. Irefer to Page 228 & 229 of the Second Motion Joint Petition].
v. On perusal of the financial statements of the Transferor Company for the FY 2021-22, it is seen that the company has nil revenue from its operation since last two years. Hence. the company is dormant under 455 of the Companies Act, 2013.	v. That the fifth observation pertains to the Transferor Company i.e. Vinco Metals Private Limited, accordingly, reply to the said observation shall be provided by the Transferor Company in its compliance cum reply affidavit.

vi. On perusal of the financial statements of the Transferee Company for the FY 2021-22, it is seen that the company has taken loan from its directors. However, the company has not file the e-form DPT-3 with the RoC Further, the company has loan taken from the corporates so the compliance of the provision of the section 185 of the Companies Act. 2013 also be ensure.	vi. In response to the sixth observation, it is most respectfully submitted that the Notification dated 31.03.2014 issued by the Ministry of Corporate Affairs provides an exemption to a non-banking financial company as defined in the Reserve Bank of India Act, 1934 registered with the Reserve Bank of India from the applicability of the rules set out in the Companies (Acceptance of Deposits) Rules, 2014. Accordingly, in terms of Rule 16 of the said Rules, the Transferee Company Le Bon Lon Private Limited is exempted from filing Form DPT-3 with the Registrar (Copy of Notification dated 31.03.2014 issued by the Ministry of Corporate Affairs is attached herewith and marked as Annexure-3).
vii. The Transferee company may kindly be directed to comply with the provisions of Section 232 (3) (1) of the Companies Act, 2013 regarding fee payable of its revised Authorized Share Capital.	vii. In response to the seventh observation, it is most respectfully submitted that the Transferee Company/ Petitioner No. 2 undertakes to comply with the provision of Section 232(3) of the Companies Act, 2013 regarding fee payable by the Transferee Company on its revised Authorized Share Capital.

11. The Regional Director (RD) in its report cum affidavit dated 21.03.2023 had made certain observations with regard to the proposed scheme of amalgamation among the petitioner companies. However, after the reply of the Petitioner Companies in response to the observation made by the Regional Director, the observations made by the Regional Director stands clarified according to the Counsel for the Regional Director, as recorded in order dated 20.12.2023.

12. The Official Liquidator has filed its report dated 20.04.2023, wherein no specific objection has been raised against the approval of the Scheme. It is submitted in the report that the affairs of the transferor company do not appear to have been conducted in a manner prejudicial to the interest of its members or to public interest.

13. The Income Tax Department has submitted its report cum affidavit dated 28.07.2023 with respect to the Transferee Company wherein it was mentioned that the IT Department has no objection to the present scheme of arrangement being approved by this Tribunal subject to deposit of the demands (if any) outstanding against the Applicants. The Transferee Company have submitted affidavit dated 18.11.2023, wherein the Transferee Company undertakes the following:

    a) *That in the event any tax liability arises pertaining to the affairs of the Transferor Company after merger with the Transferee Company, the same shall be discharged by the Transferee Company in accordance with the law.*

    b) *That if any proceeding is instituted against the Transferor Company in respect of its business, after merger with the Transferee Company, the same shall be borne by the Transferee Company in accordance with the law.*

    c) *That carry forward and set off of accumulated loss and unabsorbed depreciation will strictly be done by the Transferee Company in compliance with the provisions of section 72A of the Income Tax Act 1961.*

14. Considering the reply of the Petitioner Companies and further, the undertaking of the Petitioner Companies with respect to the observations and clarifications, we find no impediment in approving the present scheme of amalgamation.

15. In this petition it has also been affirmed that no proceeding for inspection, inquiry or investigation under the provisions of the Companies Act, 2013 or under provisions of Companies Act, 1956 is pending against the Petitioner Companies.

16. Certificates of Statutory auditor of the petitioner companies, has been placed on record to the effect that Accounting Treatment proposed in the Scheme of Amalgamation is in conformity with the Accounting Standard notified by the

Central Government as specified under the provisions of Section 133 of the Companies Act, 2013 read with Rule 7 of the Companies Accounts Rules, 2014 and Companies (Accounting Standards) Amendment Rules, 2016, and other generally accepted accounting principles in accordance with the Companies Act, 2013, as applicable.

17. Supreme Court in Miheer H. Mafatlal vs Mafatlal Industries Ltd JT 1996 (8) 205 while considering the scope of the jurisdiction of the Company Court in respect of matters of sanction of the Scheme of Amalgamation as per the provisions of Section 391 read with Section 393 of the Companies Act, 1956, observed as under:

It is the commercial wisdom of the parties to the scheme who have taken an informed decision about the usefulness and propriety of the scheme by supporting it by the requisite majority vote that has to be kept in view by the Court. The Court certainly would not act as a court of appeal and sit in judgment over the informed view of the concerned parties to the compromise as the same would be in the realm of corporate and commercial wisdom of the concerned parties. The Court has neither the expertise nor the jurisdiction to delve deep into the commercial wisdom exercised by the creditors and members of the company who have ratified the Scheme by the requisite majority. Consequently, the Company Court's jurisdiction to that extent is peripheral and supervisory and not appellate.

In view of the law laid down by the Supreme Court, this Tribunal is not supposed to examine the merits/benefits of the commercial wisdom of the decision of the shareholders etc.

18. The shareholders of the petitioner companies are the best judges of their interest, being fully conversant with market trends, and therefore, their decision should not be interfered with by the Tribunal for the reason that it is not a part of the judicial function to examine entrepreneurial activities and their commercial decisions. It is well settled that the Tribunal evaluating the Scheme, of which sanction is sought under Section 230-232 of the Companies Act of 2013, will not ordinarily interfere with the corporate decisions of companies as approved by shareholders and creditors.

19. It has also been affirmed in the petition that the Scheme is in the interest of all the Petitioner Companies including their shareholders, creditors, employees and all concerned. In view of the foregoing, upon considering the approval accorded by the members and creditors of the Petitioner companies to the proposed Scheme, there appears to be no impediment in sanctioning the present Scheme.

20. Consequently, sanction is hereby granted to the Scheme under Section 230 to 232 of the Companies Act, 2013 with the following directions: -

    (i) The Petitioners shall however remain bound to comply with the statutory requirements in accordance with the law.

    (ii) Notwithstanding the above, if there is any deficiency found or, violation committed, qua any enactment, statutory rule or regulation, the sanction granted by this court to the scheme will not come in the way of action being taken in accordance with the law, against the concerned persons, directors and officials of the petitioners.

    (iii) While approving the Scheme as above, we further clarify that this order should not be construed as an order in any way granting exemption from payment of

stamp duty, taxes or any other charges if any, and payment in accordance with law or in respect to any permission/compliance with any other requirement which may be specifically required under any law.

21. This tribunal further directs with respect to all the Transferor company and the Transferee company, that:

(i) The Appointed Date as fixed for the proposed Scheme of Amalgamation is 01.04.2021 or such other date as may be directed by this Tribunal. In view of the fact that accounts are to be drawn and audited annually and the time taken in disposal of the instant application, this Tribunal deems it fit to fix the Appointed Date as 01.04.2023.

(ii) Upon the sanction becoming effective from the appointed date i.e. 01.04.2023 as prescribed by this Tribunal, the Transferor Company shall stand dissolved without undergoing the process of winding up.

(iii) All contracts of the Transferor Company, which are subsisting or having effect immediately before the Effective Date, shall stand transferred to and vested in the Transferee Company and be in full force and effect in favor of the Transferee Company and may be enforced by or against it as fully and effectually as if, instead of the Transferor Company, the Transferee Company had been a party or beneficiary or obliged thereto;

(iv) All the employees of the Transferor Company shall be deemed to have become the employees and the staff of the Transferee Company with effect from the Appointed Date, and shall stand transferred to the Transferee Company without any interruption of service and on the terms and conditions no less favorable than those on which they are engaged by the Transferor Company,

as on the Effective Date, including in relation to the level of remuneration and contractual and statutory benefits, incentive plans, terminal benefits, gratuity plans, provident plans and any other retirement benefits;

(v) All liabilities of the Transferor Company, shall, pursuant to the provisions of section 232(4) and other applicable provisions of the Companies Act, 2013, to the extent they are outstanding as on the Effective Date, without any further act, instrument or deed stand transferred to and be deemed to be the debts, liabilities, contingent liabilities, duties and obligations etc. as the case may be, of the Transferee Company and shall be exercised by or against the Transferee Company, as if it had incurred such liabilities.

(vi) All proceedings now pending by or against the Transferor Company be continued by or against the Transferee Company.

(vii) Any person interested or effected shall be at liberty to apply to this Tribunal in the above matter for any directions that may be necessary.

22. Further, the Petitioner Companies shall within thirty days of the date of the receipt of this order, cause a certified copy of this order to be delivered to the Registrar of Companies for registration and on such certified copy being so delivered, the Transferor company shall be dissolved and the Registrar of Companies shall place all documents relating to the Transferor Company on the file kept by him in relation to the Transferee Company and the files relating to all the Petitioner Companies shall be consolidated accordingly.

23. In compliance with the requirement of Section 232 (7) of the Act, the transferee company shall until the full implementation of the Scheme of Amalgamation shall

file a statement every year in the Form CAA 8 along with the required fees with the Registrar of Companies as prescribed in the Companies (Registration offices and fees) Rules 2014 within 210 days from the end of each financial year.

24. The petition stands disposed of in the above terms.

Let copy of the order be served to the parties.

Sd/-
(DR. SANJEEV RANJAN)
MEMBER (TECHNICAL)

Sd/-
(MAHENDRA KHANDELWAL)
MEMBER (JUDICIAL)